

S&P Global Japan Manufacturing PMI[®]

New business increases at fastest rate since January 2018

August 2026

Sharper increase in sales drives further marked upturn in output

Staffing levels expand at quickest rate since February 2018

Cost pressures continue to ease but remain historically elevated

Business conditions across Japan's manufacturing sector continued to improve markedly in August, with firms signalling further sharp increases in production and new work.

Notably, the latest upturn in sales was the steepest recorded since January 2018. This in turn encouraged firms to expand their staffing levels and purchasing activity at faster rates. Cost pressures meanwhile eased slightly, but remained intense overall, linked to sustained supply chain disruption that stemmed from the war in the Middle East and a weak yen exchange rate.

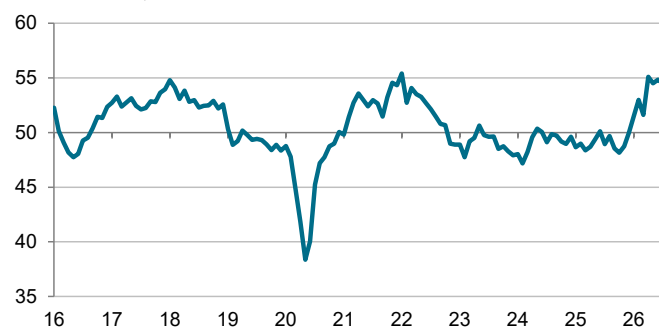
The headline S&P Global Japan Manufacturing Purchasing Managers' Index[™] (PMI[®]) – a composite single-figure indicator of manufacturing performance – climbed from 54.5 in July to 54.9 in August, signalling an improvement in the health of the sector for the eighth month in a row. Furthermore, the rate of increase was the strongest recorded since April and the second-steepest since January 2022.

Stronger growth in new orders was the principal driver of the improvement in the headline reading. Notably, the amount of new business received by Japanese manufacturing firms increased at the sharpest rate in over eight-and-a-half years. Panellists reported that sales had been supported by firmer demand conditions, new client enquiries and robust sales for products such as semiconductors and AI-related products. New export business likewise rose at an accelerated pace that was the quickest since the start of 2018, with firms noting greater demand across North America, Southeast Asia and China in particular.

Goods producers in Japan responded to higher intakes of new work by raising their production levels again in August. Furthermore, the rate of expansion eased only slightly since July and was the second-quickest since February 2014.

Employment across Japan's manufacturing industry also remained on an upward trajectory as firms looked to expand their operating capacity. Furthermore, the rate of job creation was the fastest seen since February 2018 and solid. Although payrolls rose further, outstanding business continued to increase midway through the third quarter. Notably, the rate of

S&P Global Japan Manufacturing PMI
Index, sa, >50 = improvement m/m



Data were collected 6-21 August 2026.

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Comment

Annabel Fiddes, Economics Associate Director at S&P Global Market Intelligence

"Japan's manufacturing sector continued to perform strongly in August, with the headline PMI reaching its second-highest reading since January 2022 (after April 2026).

"The standout development was the sharpest increase in new work in over eight-and-a-half years, supported by robust demand for semiconductors and other AI-related products. Output Index readings for the third quarter to date also point to the strongest quarterly production trend since the opening quarter of 2014. Year-ahead business confidence likewise improved, while manufacturers raised staffing levels at the fastest rate since early 2018.

"Price pressures remain a key concern, however. Although inflationary pressures have eased from recent peaks, the survey's price indicators remain close to record highs. Costs continue to be driven in part by disruption linked to the war in the Middle East and supplier bottlenecks around the Strait of Hormuz, as well as a weak yen, but there are tentative signs that delivery delays have eased somewhat over the past two months."

"Overall, the sector looks well placed to sustain its strong performance, particularly given demand linked to AI-related sectors. Nevertheless, firms will be keeping a cautious eye on supply chain and price developments, to see how these pressures will evolve and if they continue to ease."

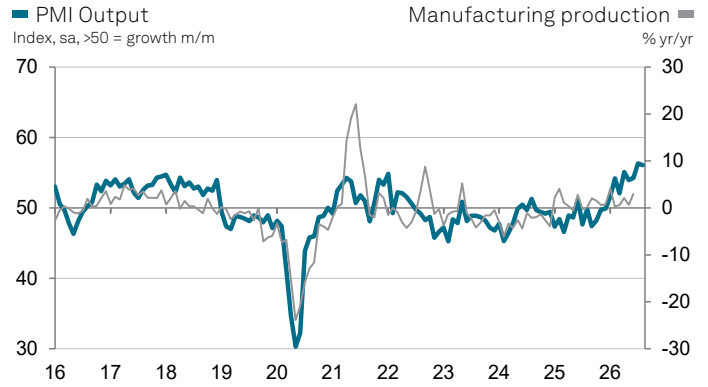
accumulation held close to July's multi-year record.

Higher output requirements led to a sustained increase in purchasing activity, which rose to the greatest extent since April 2022. However, supply chains remained under notable pressure, partly due to disruption stemming from the war in the Middle East, but also product shortages. As a result, the time taken for inputs to be delivered continued to lengthen at one of the fastest rates seen over the past four years.

Longer lead times limited the rate of inventory growth, with stocks of purchased items rising at a slower and only marginal pace. Meanwhile, stocks of finished goods continued to fall slightly.

The rate of input price inflation across Japan's manufacturing industry remained historically sharp in August. That said, the latest upturn in costs was the slowest seen since March. Operating expenses increased due to a combination of higher raw material and oil prices, in part driven by the conflict in the Middle East, as well as a weak yen exchange rate, according to panellists. As a result, factories continued to raise their selling prices sharply.

Japanese manufacturing firms were generally optimistic that output will continue to increase over the next year in August. Moreover, the degree of positive sentiment was the highest recorded in six months and above the historical trend. Companies often projected further increases in customer demand, particularly for semiconductors and AI-related technology.



Sources: S&P Global PMI, METI via S&P Global Market Intelligence. ©2026 S&P Global.

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Methodology

The S&P Global Japan Manufacturing PMI® is compiled by S&P Global from responses to questionnaires sent to purchasing managers in a panel of around 400 manufacturers. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in October 2001.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Purchasing Managers' Index™ (PMI). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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PMI by S&P Global

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